

they also saw failures like Windows ME, which was heavily criticised, but it certainly helped them in learning what's best for the next iterations.

From the 1990s to the early 2000s, Microsoft's Windows was in its golden period! Shipping software so fast allowed them to capture the market early, and users were getting the hang of Windows, too. Essentially giving Microsoft the first-mover advantage! In the late 90s, it was noted that Windows had a market share of over 90% in desktop operating systems.

Most of the PCs at the time were either running Windows 95 or Windows 98, and that was mostly because



there was simply nothing else in the market. Shipping software fast gave Microsoft so much favour that they were literally competing with themselves! Competitor brands like Apple were so late to the game that Windows had already dominated the market.

The strategic licensing model

Another big reason behind Microsoft's success has largely been due to its licensing model. While competitors like Apple were busy making their software tied to their own hardware, Microsoft, on the other hand, thought of a much bigger picture. They believed that if they wanted to get onto more desks, they couldn't restrict themselves by locking down Windows.

Instead, they made a crucial decision by allowing potential competitors like HP, Dell and Compaq a license of Windows for every computer they sold. This was a simple trade for both par-

ties; the hardware companies got the most popular operating system on the market, while Microsoft, the software company, would get a licensing fee for every computer sold.

By not selling the hardware directly, Microsoft played the bigger game. Hardware has always been a tough game to crack, and that's all because of thin margins and additional costs. Microsoft simply avoided all this by not competing at all. Staying out of this battle was a very beneficial decision for Microsoft, as they didn't have to worry about the hardware at all.

At the same time, Windows was being shipped out to more people. All because, with so many hardware companies in the market, it meant the end users had a lot of options to choose from. Every PC, be it a home computer or an office workstation, was now running Windows.

Not to forget, while being reached out to users around the globe, Microsoft were still earning a ton of money, all thanks to the standard license fee that was charged to hardware companies for the Windows license. Overall, this really was in favour of Microsoft, but they didn't stop there!

Setting the software standard at a global scale

Along with Windows, offices around the globe also use a particular set of programs for managing all sorts of things. If you haven't guessed it already, I'm talking about Microsoft Office. Be it writing data, creating spreadsheets, or even presentations, the Microsoft Office programs are widely known by everyone, becoming the standard tools for a lot of offices!

Microsoft played a very smart game in the early '90s by creating the Office suite. While Office programs like Word, Excel and Spreadsheets were already made by Microsoft since the start. However, they started bundling all the programs into a single Office suite, from Windows 3.0 in 1990.

Buying computers was hard in the early 90s, and a large part of the problem was that they were simply too expensive! Since computer parts were still new, as a result they cost a lot even for entry-level machines. Users had to spend upwards of \$1500 to \$1800 just to get a basic setup.

So naturally, everyone at the time, after making such a heavy investment in hardware, did not want to spend on software. So by including Office software with Windows, Microsoft allowed users to get the hang of these programs. Once they got used to the programs, most users couldn't switch, given the ease of use, and hence they became the standard moving forward.

The same pretty much goes for school computing as well. Reports from the late 1990s show that Windows was the top choice among most schools, and that's all due to Microsoft's first-mover advantage. It has become a cycle, where young students are taught Windows in schools, and once they grow up, they end up using the same operating system for work!

Continuing the legacy in the race for AI

It has been over two decades since Bill Gates stepped down as the CEO of Microsoft; however, his philosophy of speed continues within the organisation even today. Most recently, it can be noticed with their investments made into AI.

In the ever-evolving tech space, the latest trends over the past few years have been AI. Well, most people might be unaware of this, but Microsoft was yet again very fast to discover this space. While companies like Google and Meta were focused on their own internal research, Microsoft, back in 2019, took a massive bet and invested over \$1 billion in OpenAI. **d**

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